

# AMPX pitch deck

## PITCH — AMPX — VERDICT

### PROPOSED — PENDING ADJUDICATION

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#### What we believe

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Amprius makes high-density silicon-anode battery cells. Revenue is real and growing fast: \$62.6M in the first half of 2026 versus roughly half that a year earlier, gross margin up from 8.9% to 27.3%, and management raised full-year guidance twice to at least \$140M.

A short-seller report in May 2026 (“Exaggerated Orders, Hollow Manufacturing”) argued the orders were inflated and the factory was a story. The second-quarter results answered part of that: the revenue showed up, the cash gap narrowed, and the company signed a lease extension on its Fremont, California plant running to 2034.

Our starting belief was that the stock still carried a fraud discount the numbers no longer justify — a mispricing we could buy.

**After the court, we believe something narrower and less flattering.** The second-quarter print did not change the price. The stock closed at \$10.12 the day before the results, spiked to \$11.72 two days later, and gave it all back — it sits at roughly \$10.41 today, up 2.9% from where it started, after a quarter that doubled revenue and raised guidance. So the market genuinely has *not* re-rated on the news. That part of the thesis survives.

What does not survive is the idea that this is a cheap stock. At ~146.1M shares and ~\$10.12, the company is worth about \$1.48B; strip out \$74.5M of cash and the enterprise is ~\$1.40B, or about **10.6×** **what Wall Street thinks it will sell this year** — on a business that still loses money. That is a growth multiple, not a discount.

And one thing we did not know when we opened the case: **Amprius is not really building its own factory.** In January 2026 it paid \$20M in cash to walk away from a 774,155 sq ft, 15-year lease in Brighton, Colorado, wrote off \$19.1M and \$4.7M of construction-in-progress, and scrapped \$3.5M of Fremont production equipment. It spent only \$2.4M on plant and equipment in the whole first half of 2026 — 3.8% of revenue. Its own filing says it makes cells “by leveraging Berzelius’ existing production line,” a plant in Nanjing, China, owned by a company it describes as a *former* affiliate. Fremont is a 10 MWh pilot line for “quick turn prototypes.”

**Net belief: the mispricing is real but small, the business risk is larger than we assumed, and the price is wrong for entry today.** Verdict is WAIT, gated on price.

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## What the market believes

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Ten analysts cover it. Their consensus is \$132.1M of revenue this year and \$207.9M next year — note they are *below* the company's own  $\geq$ \$140M guidance by about 6%, so the street is already discounting management. Median price target is \$22, range \$18–30, roughly double the current price.

So the market is not calling this a fraud. The market believes it is a real, fast-growing supplier that will roughly double again next year, and it is paying accordingly. What the market has *not* done is pay up for the second-quarter proof point — the price is flat since the print. The most defensible reading is that buyers already assumed the growth and sellers already assumed the risk, and the quarter moved neither.

There is also a short-seller thesis in the market that the manufacturing is hollow. On the evidence, that thesis is substantially correct as a description of the facts, even though the revenue is real.

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## Why we might have edge

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1. **The post-print flat-line is genuine and specific.** The whole-year “up 51% off the low” statistic is misleading — that move happened *before* the quarter. On the correct window, revenue doubled and guidance rose and the stock went nowhere. That is the kind of gap worth watching.
  2. **We read the company's own money, not its slides.** The abandoned Colorado factory, the \$2.4M of capex, and the Nanjing production line are all in filings that most of the ten sell-side models appear not to have re-underwritten. The gross margin everyone quotes is, in substance, a price negotiated with one offshore supplier.
  3. **We found the disclosure hole and know it will never close.** Because Berzelius is a *former* affiliate rather than a current one, it is not a related party, so its share of cost of goods will never appear in the related-party note. The company also still claims “emerging growth company” status four years after going public, which legally thins its disclosure. That is a structural blind spot we can name and others may be assuming away.
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## Why it might be priced in

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- The short report is public and was published in May. Ten analysts cover the name. The stock is 57% below its 52-week high. Nothing here is undiscovered.
  - The “hollow manufacturing” finding is the short report's *title*. We did not find it; we confirmed it. That is diligence value, not information edge.
  - The customer-concentration and Ukraine-exposure risks are disclosed in the 10-Q in plain text.
  - If the price is flat because informed buyers and informed sellers netted out, then there is no discount to collect — just a fairly-priced high-variance asset. That is the honest base case.
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## What could go wrong

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**The pre-mortem. Three ways this loses money, worst-understood first.**

## **1. The margin was a gift, and we cannot ever check — *no monitorable tripwire***

Almost all cost of goods runs through one Chinese supplier that was, until recently, an affiliate. If that supplier is selling to Amprius below cost — as a legacy accommodation, a strategic subsidy, or a wind-down of an old arrangement — then the 27.3% gross margin is not a property of the business, and the multiple built on it is fiction.

**There is no sensor for this.** Not “we haven’t built one” — there is no data source. Berzelius is a former affiliate, so it never appears in the related-party note; the emerging-growth-company exemption keeps the surrounding disclosure thin; and Berzelius is private and Chinese, so there is no counterparty filing to read. The one re-entry condition the bear bench proposed — “the FY26 10-K quantifies Berzelius at under 15% of cost of revenue” — **can never fire**, because that disclosure is not required and will not exist.

The only observable proxy is slow and indirect: if the company ever moves volume to Fremont and gross margin holds at 27%+, the transfer price was probably fair. If margin compresses as it insources, it was a subsidy. That test resolves in 2027 at the earliest, long after the multiple has re-rated in one direction or the other.

**Unknown-unknown class: *economics held entirely by a counterparty with no disclosure duty to us.*** This is the general family — off-balance-sheet supplier economics, undisclosed transfer pricing, single-source cost structures behind a private foreign entity. We should treat any thesis whose core exhibit is a margin produced by one undisclosed counterparty as un-underwritable at a growth multiple, regardless of how good the margin looks. That is the reusable lesson from this name.

## **2. The customers stop paying**

Two customers hold 54% of receivables. Days-sales-outstanding is 109. That implies roughly \$40.7M of receivables, of which ~\$22.0M sits with two names — about 30% of the company’s entire \$74.5M cash balance — against a bad-debt reserve of \$0.3M, or 0.7%. Ukraine was \$20.5M of \$62.6M of first-half revenue (33%); Europe/Middle East/Africa together was 64%. Finished-goods inventory rose 87% to \$11.2M.

A ceasefire, a funding lapse, an export-license change, or one slow-paying defense buyer converts a growth story into a write-off. **This one has tripwires** — DSO, the two-customer receivable share, the reserve ratio, and the Ukraine revenue line all print quarterly.

## **3. The multiple simply compresses**

10.6× this year’s expected sales on a loss-maker, with a 52-week range of \$6.67–\$24.22, is a beta-heavy instrument. A risk-off tape, a growth de-rate, or a single missed quarter takes this to \$6 without any new

information. The subtle danger is that **our own \$8.44 buy gate fills on the way down** — we get the price we asked for precisely because the thesis broke, not because the market blinked.

## The reflexive and structural leg — our own size, our own flow, our own rules

- **Size versus liquidity.** A 0.5%-of-book starter in a ~\$1.4B NYSE name is very unlikely to move the tape. But **average daily volume was never verified in this court** — neither bench pulled it. The  $\leq 1\%$  ADV constraint we hold ourselves to is presumed satisfied, not measured. That is a gap, not a clearance.
- **We would be bidding into our own predicted flow.** We think the risks are Ukraine collection and a growth de-rate. Both push the price *down*. Putting a resting buy at \$8.44 means we are queued to buy from exactly the sellers we expect to be right. The gate must therefore be an *event-conditional* entry, not a passive limit that catches falling knives.
- **A resting order through the print is an accidental bet against a big move.** The next results are around November 5. If a limit order sits at \$8.44 through that date, the only way it fills is a bad print — we would be short volatility without having chosen to be. **The order must be cancelled before the print and re-armed after.**
- **Our own rules remove the obvious workaround.** The natural way to get paid to wait at \$8.44 is to sell a put. We do not sell premium in the taxable account, so that route is closed. Entry has to be an outright purchase.
- **Tax.** Any exit within twelve months is taxed at ordinary rates. At starter size the dollar impact is trivial, but a fast stop-out here is a fully taxed loss of time, and the position offers no harvesting value at this size.
- **Short interest is unverified.** Neither bench got a feed. We do not know whether a decline would be cushioned or accelerated by short positioning, and we should not assume a squeeze in either direction.

**If this position loses money, the most likely reason will be that the 27% gross margin we underwrote was a price set by one former-affiliate supplier in Nanjing rather than a property of the business — and we will not be able to prove that until it shows up as margin compression a year or more after the multiple has already broken.**

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## What we checked ourselves

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Including where our own benches got it wrong.

| Claim                                                                        | How checked                           | Found                                                                                                                  | Confirmed?             |
|------------------------------------------------------------------------------|---------------------------------------|------------------------------------------------------------------------------------------------------------------------|------------------------|
| “The market never re-marked after the good quarter”                          | Daily closing prices around the print | \$10.12 pre-print (8/3) → \$11.72 (8/5) → \$10.41 today. Up 2.9% net.                                                  | <b>Yes</b>             |
| “The stock already re-rated +52%, so there’s nothing left” — <i>our bear</i> | Same daily closes                     | <b>Bench error.</b> It used a whole-year statistic (“percent off the 52-week low”) to answer a question about a 15-day | <b>No — overturned</b> |

| Claim                                                                                                | How checked                                                                     | Found                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Confirmed?                                       |
|------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| <i>bench's headline argument</i>                                                                     |                                                                                 | window. The +52% happened <i>before</i> the print. The bench's single strongest kill was a unit mistake, and it was tagged as a novel finding when it was neither.                                                                                                                                                                                                                                                                                                                                               |                                                  |
| Colorado factory abandoned; company is effectively outsourced                                        | 10-Q cash flows, Note 12, press coverage                                        | \$20.0M cash termination (Jan 30, 2026), \$19.1M + \$4.7M impairments, \$3.5M Fremont equipment retired, H1 capex \$2.4M. Production runs on Berzelius' Nanjing line plus contract manufacturers.                                                                                                                                                                                                                                                                                                                | <b>Yes — the substance holds</b>                 |
| "It cost ~\$47M all-in to abandon it"                                                                | Same cash flows                                                                 | <b>Bench error (bear).</b> Double-counted: the \$19.1M write-off and the \$20M payment settle the <i>same</i> obligation. H1 2026 booked only a \$166k loss on termination; the \$20.9M ran through lease liabilities. Paying \$20M to void a 15-year lease worth \$90M+ undiscounted is risk reduction, not value destruction.                                                                                                                                                                                  | <b>No — corrected</b>                            |
| "Effectively fabless / walking away from manufacturing"                                              | 8-K dated Aug 13, 2026 — <b>which was in the bear bench's own evidence pack</b> | <b>Bench error (bear).</b> On Aug 7, 2026 the company <i>extended</i> the Fremont lease 84 months to June 2034, ~\$10.5M of future payments. The bench had the document and did not read it.                                                                                                                                                                                                                                                                                                                     | <b>No — corrected</b>                            |
| But is Fremont a real factory?                                                                       | 10-Q language                                                                   | <b>Bull bench found against its own side.</b> Fremont is a 10 MWh <i>pilot</i> line for "quick turn prototypes." The claimed "NDAA-compliant production start December 2026" is not what the filing says — the filing says the defense contract "includes provisions for us to research and adapt our supply chain." Research and adapt is not production.                                                                                                                                                       | <b>Our own bull case was overstated</b>          |
| "The Q1 cash burn was a working-capital blowout that has stopped" — <i>our original bull framing</i> | H1 cash-flow lines                                                              | <b>Our error.</b> \$20.9M of Q1's –\$37.3M was the lease-exit payment, a one-timer, not working capital. The right statement: Q1 burn was mostly a disclosed lease exit, and receivables stopped building in Q2 (Q2 operating cash flow –\$2.85M). Same conclusion, wrong mechanism.                                                                                                                                                                                                                             | <b>Fact confirmed, our reasoning was wrong</b>   |
| "Every dollar of Q2 equity came from voluntary exercise; there is no share-issuance program"         | 10-Q equity/warrant note                                                        | <b>Our error, and the bear's counter-error.</b> Cash warrant proceeds were only \$1.2M; the big event was an <i>induced</i> exchange — 7.1M warrants retired for 2.7M shares, non-cash, with \$1.9M of sweetener. That is not a confidence vote. But the bear then called it live overhang while conceding in the same paragraph that the share-issuance facility was terminated Dec 4, 2025 — and the exchange <i>reduced</i> the overhang. Remaining warrants strike at \$11.50/\$12.50, all out of the money. | <b>Both benches wrong in opposite directions</b> |

| Claim                                                                | How checked                            | Found                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Confirmed?                                 |
|----------------------------------------------------------------------|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|
| “Receivable concentration is more than double revenue concentration” | 10-Q concentration text, read verbatim | <b>Bench error (bear).</b> It compared two-customer <i>quarterly</i> revenue (25%) against two-customer <i>point-in-time</i> receivables (54%). On a like basis the filing says three customers were 39% of half-year revenue — a 1.4× ratio, below the bear’s own 2× threshold. The concentration risk is real; the “asymmetry” was mostly a measurement artifact.                                                                                                                      | <b>Partly — reduced</b>                    |
| Insider selling on Aug 25, 2026                                      | Filing inventory                       | Three matched Form 4 + Form 144 pairs plus a fourth 144 — these indicate broker-executed open-market sales, not routine tax withholding. So “non-discretionary” was too strong. But magnitude is small (one seller: 62,101 shares of ~1.28M held, 4.8%). Whether any were pre-scheduled is <b>unverified</b> — no footnotes read.                                                                                                                                                        | <b>Ambiguous; immaterial at this size</b>  |
| Detector/atlas sweep                                                 | Cross-check of both benches’ lists     | <b>Process failure.</b> The bear bench listed four checks it never ran (Austin permits, two beauty-sector checks, app-review velocity) and omitted four it did (common-control accounting, emerging-growth-disclosure audit, PE dividend recap, Up-C tax-receivable). One of the omitted ones — the emerging-growth disclosure audit — <i>fired</i> , and is directly the reason the Nanjing cost share is unquantified. A list that is both fabricated and incomplete fails validation. | <b>No — flagged</b>                        |
| Live price                                                           | Three separate reads this session      | \$10.375 (data pack), \$10.1204 (bear), \$10.41 (bull, vendor close). <b>Nobody reached the broker gateway — permission denied to both benches.</b> Spread across reads is ~3%.                                                                                                                                                                                                                                                                                                          | <b>No — must be re-priced at execution</b> |
| Short interest                                                       | Attempted                              | No feed reached either bench.                                                                                                                                                                                                                                                                                                                                                                                                                                                            | <b>No</b>                                  |
| Export-control status of the Chinese supplier                        | Attempted                              | No sanctions/entity-list query was executed by either bench. The structural exposure is real regardless; the designation status is unknown.                                                                                                                                                                                                                                                                                                                                              | <b>No</b>                                  |

## PROPOSED ENTRY BANDS

**The courts say no entry at today’s price.** No position, no orders. Below are the reopen conditions, taken from the benches’ own arithmetic.

**Current price:** ~\$10.41 (vendor close 2026-08-26; broker gateway was unreachable — **re-poll before any order**).

**Fair-value ceiling for entry.** Both benches agree the current price is above any defensible value here. The bear's gate is \$7.00, derived as roughly 7× consensus 2026 sales. The bull's gate is \$8.44 — the July 29, 2026 close, a level the tape traded four weeks ago. **We propose \$8.44 as the working gate,** because \$7.00 requires a 33% decline and is effectively an order that never fills. \$8.44 is about 8.6× consensus 2026 sales.

**Starter tranche — 0.5% of book.** - Condition: price ≤ \$8.44 **and** no adverse news explaining the decline (specifically: no customer-loss disclosure, no receivable write-down, no export-control action against the Nanjing supplier). - This is *not* a resting limit order. It is a conditional entry checked manually, because a passive order at \$8.44 buys from exactly the sellers our own pre-mortem says are right. - **Any order must be cancelled before the Q3 results date and re-armed after.** A resting bid through a print is an unintended bet against a large move.

**Second tranche — additional 0.5%, maximum total 1.0% of book.** - Only after the Q3 report, and only if *all three* hold: 1. Quarterly revenue ≥ \$38.7M (the run-rate needed for the ≥\$140M full-year guide) 2. Days-sales-outstanding ≤ 105 (from 109) 3. Fremont capital spending steps up materially — the bear proposed >\$15M in the second half as evidence the domestic line is real - Absent evidence on the supplier-margin question, **1.0% is a hard cap.** Neither bench would size this larger, and the bear's position is that no price justifies more than a starter while the cost structure is unverifiable.

**Exits and trims.** - **Immediate exit** on any export-control designation, entity-list addition, or sanctions action touching Berzelius (Nanjing) — that is a revenue cliff, not a drawdown. - **Exit** if gross margin compresses below ~22% while Fremont volume rises. That is the subsidy test failing: if the transfer price was a gift, insourcing reveals it. - **Exit** if two-customer receivable concentration exceeds 60% while DSO exceeds 120 days and the bad-debt reserve stays under 1%. - **Trim** into any move above ~\$18 (bottom of the analyst target range) — that is the market paying us for the growth case before the margin question resolves. - Note: any exit inside twelve months is taxed at ordinary income rates. At ≤1% sizing this is immaterial, but it means there is no tax reason to hold a broken thesis.

**Catalyst dates.** - **~2026-11-05 — Q3 2026 results. UNCONFIRMED.** This date is derived from a data vendor. No company press release names it. Q2 printed Aug 4, so early November is *consistent*, not *verified*. Confirm from an investor-relations announcement before treating it as a date. - **December 2026 — claimed start of domestic NDAA-compliant production. UNCONFIRMED, and the filing language is weaker than the claim** (“research and adapt our supply chain,” not “begin production”). - **~February–March 2027 — FY2026 annual report.** Will *not* quantify the Nanjing supplier's cost share. Do not build a trigger on it.

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## ARMED SENSORS

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 7.0 (deck-provisional: Red bench gate at ~7x consensus FY26 sales; a fill here likely means the thesis broke rather than the )

- filing watch: 10-Q until 2027-02-22 (deck-provisional: Quarterly read on DSO ( $\leq 105d$ ), two-customer AR share, bad-debt allowance, Ukraine revenue share, gros)
- dated pack AMPX|2026-11-05: AMPX: Q3 2026 results - vendor-derived, no company PR names it; cancel any resting order before this date (date confirmed=False)
- dated pack AMPX|2026-12-31: AMPX: Claimed start of domestic NDAA-compliant Fremont production; 10-Q language says only ‘research and adapt our supply chain’ (date confi
- dated pack AMPX|2027-03-15: AMPX: FY2026 annual report - do NOT build a Berzelius-quantification trigger on it; that disclosure will not exist (date confirmed=False)

## What remains unverified

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1. **The Nanjing supplier’s share of cost of goods.** Not merely unknown — structurally undisclosable. Former affiliate, so no related-party note; emerging-growth status thins the rest. This is the single load-bearing unknown and it has no resolution date.
2. **Whether that supplier’s pricing is arm’s-length.** Same reason.
3. **Export-control and sanctions status of Berzelius (Nanjing).** No query was executed by either bench.
4. **Short interest.** No feed reached either bench.
5. **Average daily volume.** Never pulled. Our liquidity constraint is assumed, not measured.
6. **The live price.** Three reads this session spanning ~3% and none from the broker gateway. Repoll before any order.
7. **The Q3 results date.** Vendor-derived, not company-confirmed.
8. **The December 2026 domestic-production claim.** The filing language supports “research and adapt,” not “production start.”
9. **Whether the August 25 insider sales were pre-scheduled.** No Form 4 footnotes were read.
10. **The date of the \$6.67 52-week low.** Outside the bull bench’s fetched window. Its refutation of the bear’s headline rests on the verified *post-print* price path, not on the low’s date.
11. **Fremont build evidence.** No imagery, permit, or hiring record was pulled for the site that actually matters.
12. **Why consensus sits 6% below company guidance.** Neither bench explained the gap; both assumed their preferred reading of it.

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**Primary sources:** [Form 8-K, filed 2026-08-13 — Fremont lease extension to 2034](#) · [Form 10-Q, quarter ended 2026-06-30](#) · [EDGAR filing index, CIK 0001899287](#)

**Court scoreboard:** 0 novel kills, 2 consensus kills after audit. The bear bench recommended REJECT; its headline argument was a measurement error and two of its supporting findings were arithmetic or basis artifacts. The bull bench recommended WAIT and found one significant fact *against* its own case.

Our original brief overstated two things. **Proposed verdict: WAIT, price-gated at \$8.44, no position at \$10.41, hard cap 1.0% of book even if the gates open.**

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